

chapter 11

Reporting and Interpreting
Stockholders' Equity

Financial Accounting

12e

Libby • Libby • Hodge

Learning Objectives

After studying this chapter, you should be able to:

- 11-1** Explain the role of stock in the capital structure of a corporation.
- 11-2** Compute and analyze the earnings per share ratio.
- 11-3** Describe the characteristics of common stock and report common stock transactions.
- 11-4** Discuss and report dividends.
- 11-5** Compute and analyze the dividend yield ratio.
- 11-6** Discuss and report stock dividends and stock splits.
- 11-7** Describe the information reported on the statement of stockholders' equity.
- 11-8** Describe the characteristics of preferred stock and report preferred stock transactions.
- 11-9** Discuss the impact of stock transactions on cash flows.

Advantages of a Corporation

The corporate form of business has a critical advantage over sole proprietorships and partnerships because they can raise large amounts of capital from both large and small investors.

- Shares of stock may be purchased in small amounts.
- Ownership interests can be transferred easily through the sale of shares on established markets such as the New York Stock Exchange or the NASDAQ Stock Exchange.
- Stock ownership provides investors with limited liability.

Many Americans own stock either directly or indirectly through a mutual fund or pension program. Stock ownership offers the opportunity to earn higher returns than a bank account or investing in corporate bonds.

Unfortunately, stock ownership also involves risks. The appropriate balance between risk and the expected return on an investment depends on individual preferences.

Microsoft 2023 Environmental Sustainability Report



ENVIRONMENTAL, SOCIAL, & GOVERNANCE (ESG) REPORTING

In its 2023 Annual Report, Microsoft states:

In our latest Environmental Sustainability Report, we shared our progress toward our 2030 sustainability targets across carbon, water, waste, and ecosystems. In 2022, our overall carbon emissions declined by 0.5 percent while our business grew. . . We've provided just under 1 million people with access to clean water and sanitation. . . And in our pursuit to be zero waste, we achieved a reuse and recycle rate of 82 percent for all our cloud hardware and diverted over 12,000 metric tons of solid operational waste from landfills and incinerators.

We also continue to take responsibility for the impacts of our direct operations on Earth's ecosystems. We've contracted to protect 17,268 acres of land, over 50 percent more than the land we use to operate.

To date, through our Climate Innovation Fund, we've allocated more than \$700 million to a global portfolio of 50+ investments spanning sustainable solutions in energy, industrial, and natural systems.

Finally, we believe AI can be a powerful accelerant in addressing the climate crisis. We expanded our AI for Good Lab in Egypt and Kenya to improve climate resilience for the continent.

Stockholders' Equity Section of the Balance Sheet

The stockholders' equity section of the balance sheet lists two primary sources of equity:

- 1. Contributed capital from the sale of stock.** Contributed capital is the amount in the Common Stock and Paid-in Capital accounts.
- 2. Earned capital generated by the company's profit-making activities.** Earned capital is recorded in Retained Earnings (or "accumulated deficit" when negative).

MICROSOFT CORPORATION		
Consolidated Balance Sheets (Partial)		
(\$ in millions)		
	June 30, 2023	June 30, 2022
...		
Stockholders' equity:		
Common stock and paid-in capital—shares authorized		
24,000; outstanding 7,432 and 7,464	\$ 93,718	\$ 86,939
Retained earnings	118,848	84,281
Accumulated other comprehensive loss	(6,343)	(4,678)
Total stockholders' equity	<u>\$206,223</u>	<u>\$ 166,542</u>

Learning Objective 11-1

11-1 Explain the role of stock in the capital structure of a corporation.

Ownership of a Corporation

Corporations enjoy a continuous existence separate and apart from its owners. A corporation can . . .

Own assets

Incur liabilities

Sue others and be sued

Expand and contract in size

Enter into contracts
independently of its
stockholder owners

Corporations are created by application to a state government (not the federal government). Corporations are governed by a board of directors elected by the stockholders.

Benefits of Stock Ownership

Owners of common stock (known as stockholders or shareholders) receive a number of benefits:

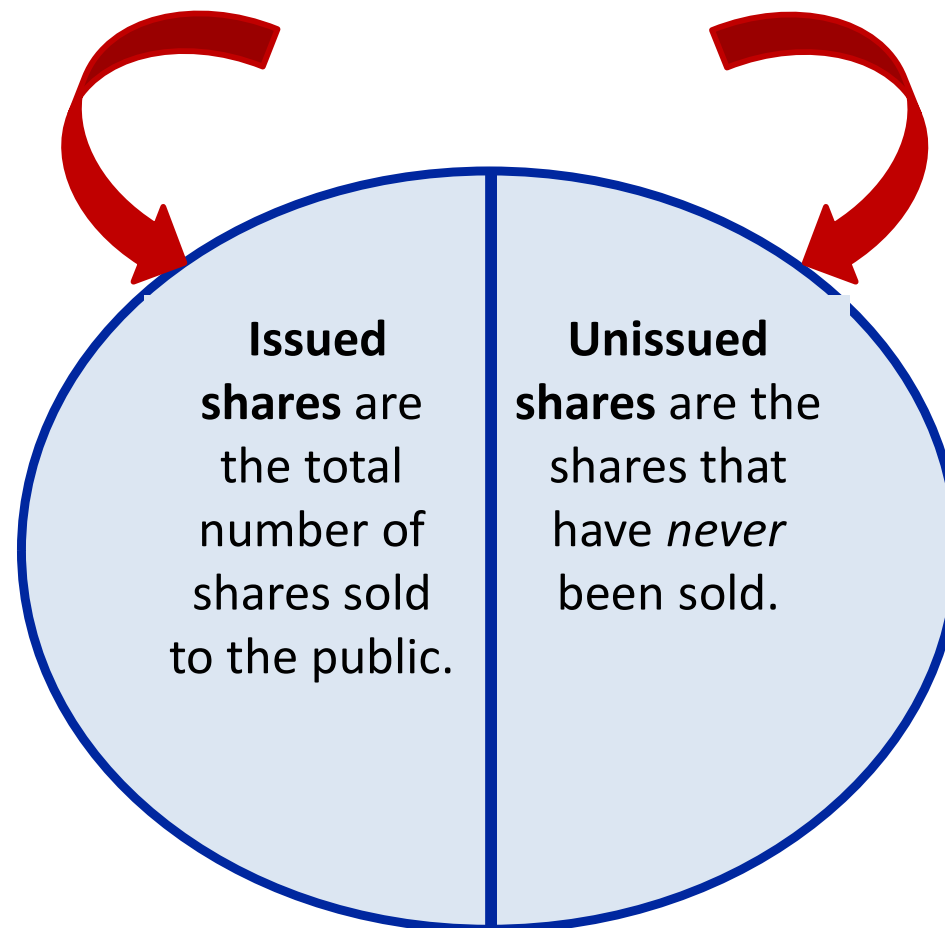
① A voice in management: vote in the stockholders' meeting on major issues concerning management of the corporation.

② Dividends: Proportional share of the distribution of profits.

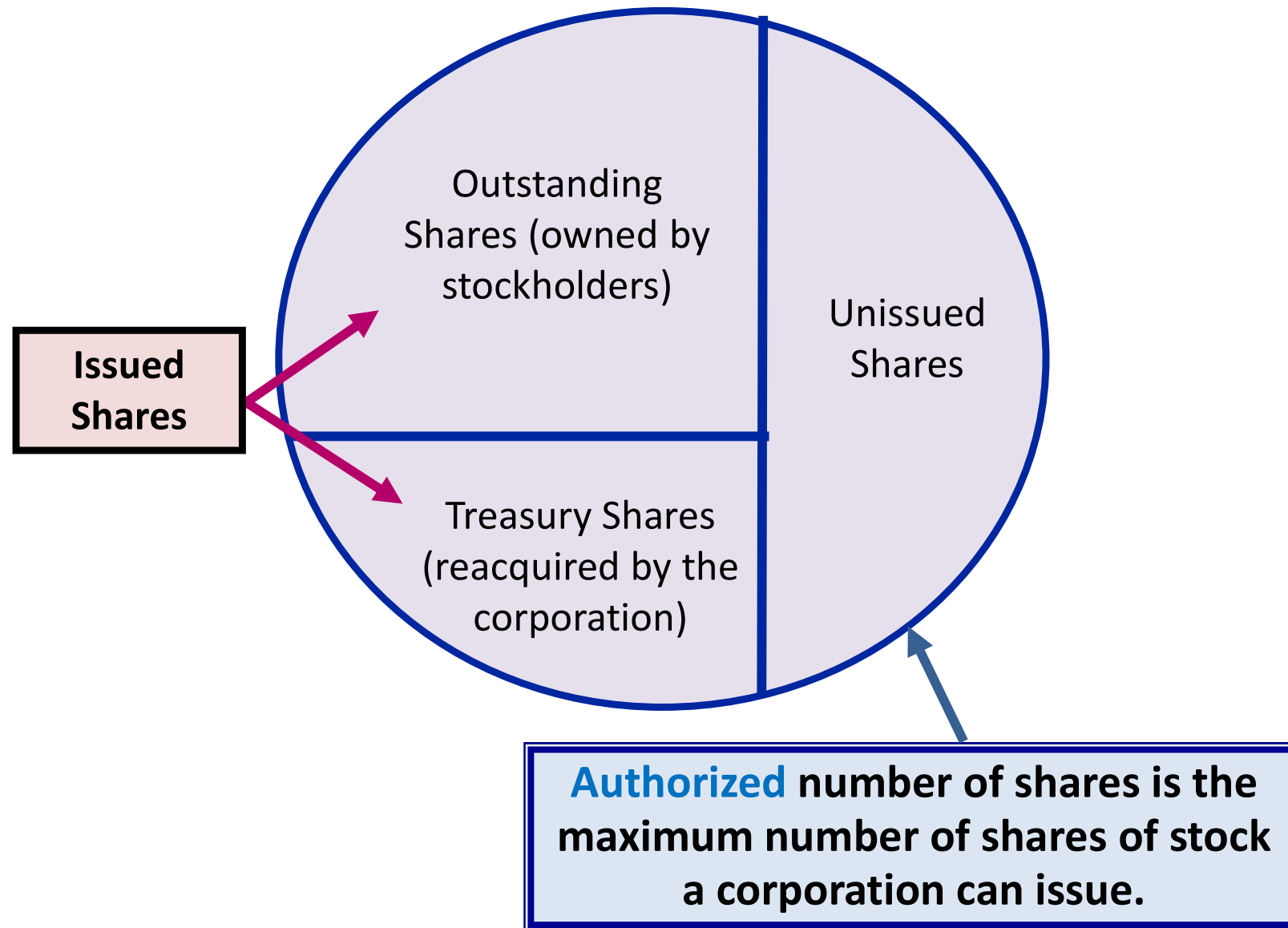
③ Residual claim: Proportional share of the distribution of remaining assets upon the liquidation of the company.

Authorized, Issued, and Outstanding Shares (1 of 3)

The authorized number of shares is the maximum number of shares of stock a corporation can issue as specified in its charter.



Authorized, Issued, and Outstanding Shares (2 of 3)



Authorized, Issued, and Outstanding Shares (3 of 3)

A few states do not allow treasury stock. In these states companies must retire shares that are repurchased. Microsoft is incorporated in one of those states (Washington State). In fiscal 2023, Microsoft repurchased and retired 69 million shares of common stock. Since those shares are not listed as treasury stock, Microsoft's number of outstanding shares is equal to its number of issued shares.

MICROSOFT CORPORATION	
Number of Common Stock Shares	
June 30, 2023	In Millions
Authorized shares	<u>24,000</u>
Issued	7,432
Less: Treasury shares	<u>0</u>
Outstanding shares	<u>7,432</u>

Learning Objective 11-2

11-2 Compute and analyze the earnings per share ratio.

Earnings per Share (EPS)

KEY RATIO ANALYSIS



How well is a company performing?

Earnings per Share = Net Income* ÷ Weighted Average Number of Common Shares Outstanding

*Any preferred dividends (discussed later in this chapter) should be subtracted from net income.

The 2023 ratio for **Microsoft**:

$$\$72,361 \text{ million} \div 7,446 \text{ million shares}^{\dagger} = \$9.72$$

[†]The weighted average number of common shares outstanding is reported on the income statement.

COMPARISONS OVER TIME		
Microsoft		
2021	2022	2023
\$8.12	\$9.70	\$9.72

COMPARISONS WITH COMPETITORS	
IBM	Intel
2023	2023
\$8.23	\$0.40

Companies are required to report EPS on their income statements.

Learning Objective 11-3

11-3 Describe the characteristics of common stock and report common stock transactions.

Common Stock Transactions (1 of 2)

Common stock is held by investors who are the **owners** of a corporation.

Stockholders have the right to:

- Vote
- Share in profits of the business through dividends
- Elect the board of directors who hire and monitor the executives who manage a company's activities on a day-to-day basis

Common Stock Transactions (2 of 2)

Par value is the nominal value per share, established in the corporate charter.*

Par Value $\neq$ Market Value

Legal capital is the amount of capital, required by the state, that must remain invested in the business.

* There are some states that require the issuance of **no-par value stock**. When a corporation issues no-par stock, legal capital is defined by state law.

Initial Sale of Stock

An **initial public offering**, or IPO, involves the very first sale of a company's stock to the public (i.e., when the company first "goes public").
Additional sales of new stock to the public are called **seasoned offerings**.

Assume Microsoft sold 1 million shares of its \$0.00000625 par value common stock for \$375 per share.

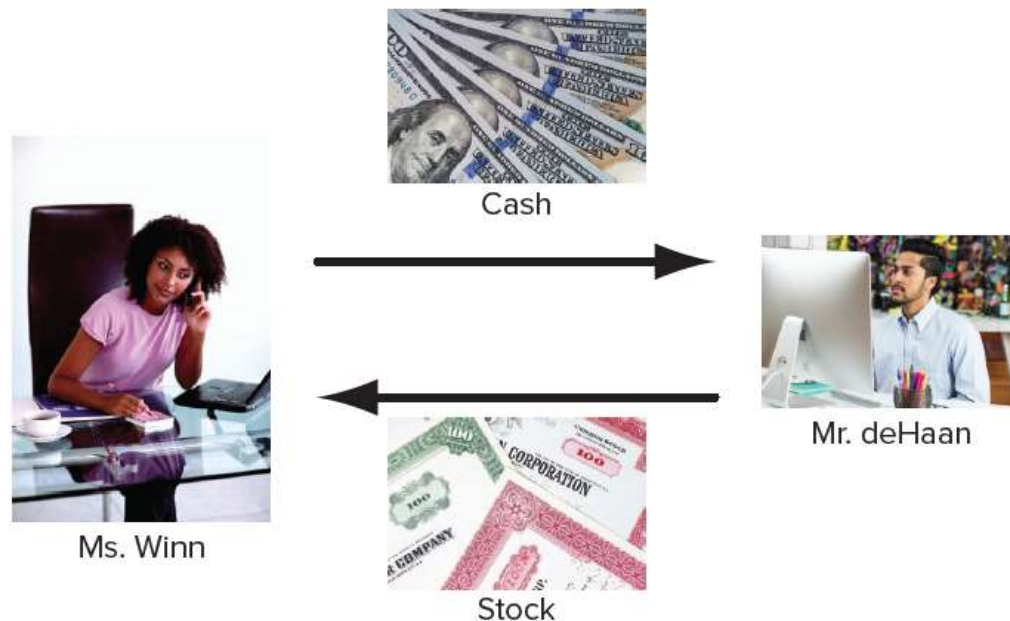
The company would record the following journal entry:

	Debit	Credit
Cash (+A) <i>(1,000,000 × \$375)</i>	375,000,000	
Common stock (+SE) <i>(1,000,000 × \$0.00000625)</i>		6
Additional paid-in capital (+SE)		374,999,994

Assets		=	Liabilities	+	Stockholders' Equity	
Cash	+375,000,000				Common stock	+6
					Additional paid-in capital	+374,999,994

Sale of Stock in Secondary Markets

- When a company sells stock to the public, the transaction is between the issuing corporation and the investor.
- Subsequent to the initial sale, investors can sell shares to other investors without directly affecting the corporation. Stockholders expect to earn money on their investments through possible dividends and increases in a company's stock price. **The corporation is not a part of the transaction** and therefore does not receive or pay anything.



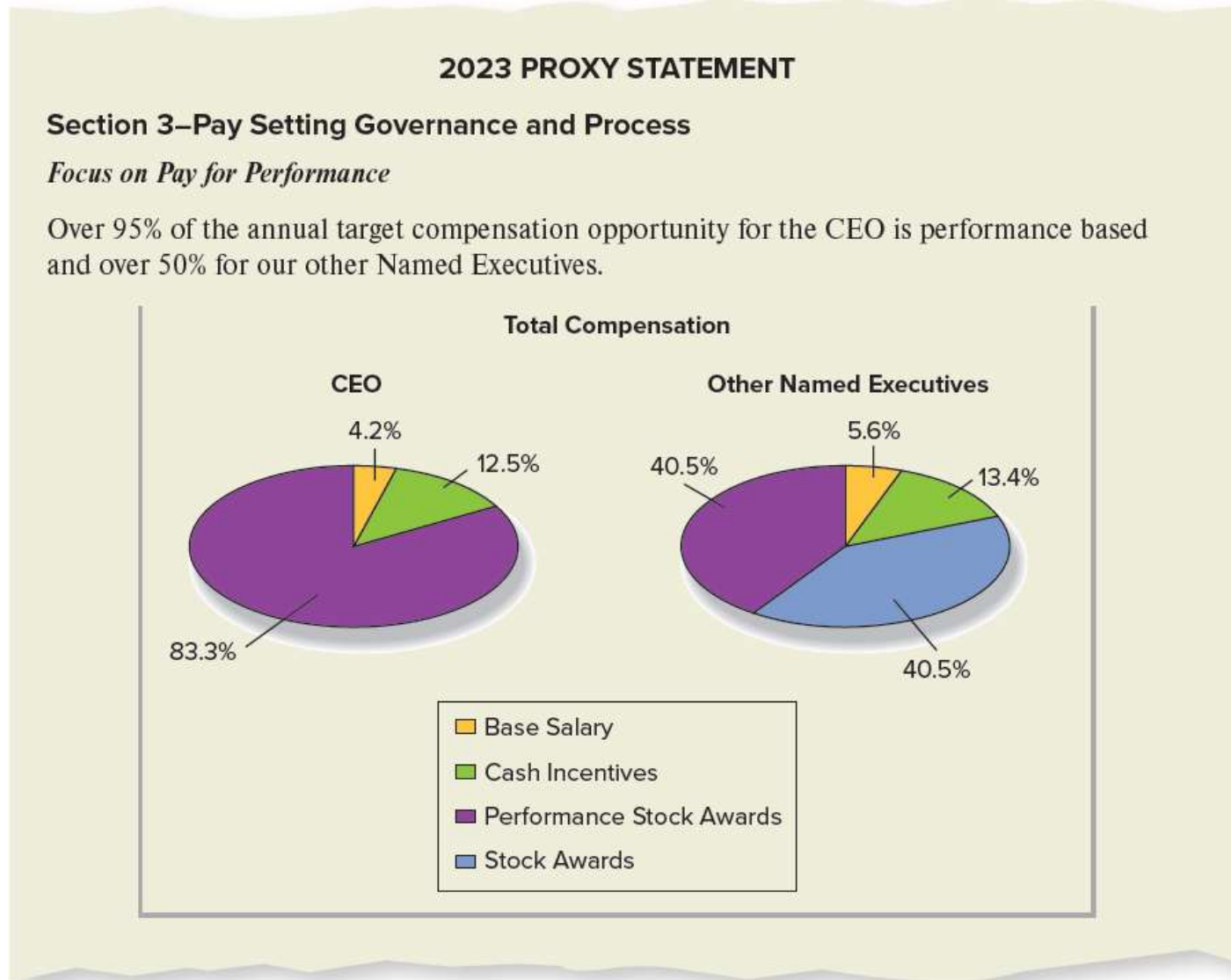
Tip The sale of a company's stock from one investor to another *does not* involve the company and therefore *does not* require the company to record the transaction.

Stock Issued for Employee Compensation (1 of 2)

- Managers may not act in the owners' best interest. Compensation packages can be developed to reward employees for meeting goals important to stockholders.
- Another strategy is to offer employees stock, either directly through stock awards or indirectly through stock options.
 - **Stock awards** grant shares of stock to employees that vest on future dates.
 - **Stock options** give employees the right to buy stock in the future at a fixed price.
- Both stock awards and stock options provide incentives for employees to take actions that increase a company's stock price (thereby aligning their interest with the interest of stockholders).

Stock Issued for Employee Compensation (2 of 2)

Microsoft uses equity compensation to incentivize its CEO and other high-level executives as shown in the following disclosure:



Repurchase of Stock

- A corporation repurchase its stock from existing stockholders for a number of reasons.
 - One common reason is the existence of an employee bonus plan that provides workers with shares of the company's stock as part of their compensation.
 - Due to SEC regulations, it is less costly to give employees repurchased shares than to issue new ones.
 - Reissuing treasury stock avoids diluting existing shareholders' investments.
- When companies repurchase shares from the market, they pay cash and receive their own stock. Stock that has been repurchased and is held by the issuing corporation is called **treasury stock**.
 - Treasury stock is not an asset, rather it is a contra-equity account.
 - Treasury stock is shown as a negative number on the balance sheet.
 - The treasury stock is considered issued but not outstanding. Thus it is not removed from the Common Stock account.
- Treasury shares have no voting, dividend, or other stockholder rights while they are held as treasury stock.

Repurchase and Reissuance of Stock (1 of 2)

IBM repurchased 100,000 shares of its common stock when it was selling for \$140 per share.

	Debit	Credit
Treasury stock (+XSE, -SE) $(100,000 \times \$140)$	14,000,000	
Cash (-A)		14,000,000

Assets		=	Liabilities	+	Stockholders' Equity	
Cash	-14,000,000				Treasury stock	-14,000,000

Treasury Stock is a contra-equity account, not an asset!

IBM reissued 10,000 shares of treasury stock at \$150 per share.

	Debit	Credit
Cash (+A) $(10,000 \times \$150)$	1,500,000	
Treasury stock (-XSE, +SE) $(10,000 \times \$140)$		1,400,000
Additional paid-in capital (+SE)		100,000

Assets		=	Liabilities	+	Stockholders' Equity	
Cash	+1,500,000				Treasury stock	+1,400,000
					Additional paid-in capital	+100,000

Repurchase and Reissuance of Stock (2 of 2)

IBM reissued 10,000 shares
of treasury stock at \$130 per share.

	Debit	Credit
Cash (+A) $(10,000 \times \$130)$	1,300,000	
Additional paid-in capital (–SE)	100,000	
Treasury stock (–XSE, +SE) $(10,000 \times \$140)$		1,400,000

Assets		=	Liabilities	+	Stockholders' Equity	
Cash	+1,300,000				Treasury stock	+1,400,000
					Additional paid-in capital	–100,000

- When a company reissues (sells) its treasury stock, it **does not report an accounting profit or loss** on the transaction, even if it sells the stock for more or less than it originally cost to repurchase the shares.
- GAAP does not permit a corporation to report income or losses from investments in its own stock because transactions with the owners are not considered normal profit-making activities.

Exhibit 11.2

Excerpt from the Consolidated Balance Sheets for IBM

IBM CORPORATION		
Consolidated Balance Sheets (Partial)*		
(\$ in millions)		
	December 31,	
	2023	2022
...		
Stockholders' Equity		
Common stock and additional paid-in capital	\$ 59,643	\$ 58,343
Retained earnings	151,276	149,825
Treasury stock, at cost	(169,624)	(169,484)
Accumulated other comprehensive loss	(18,761)	(16,740)
Noncontrolling interest	80	77
Total stockholders' equity	<u>\$ 22,613</u>	<u>\$ 22,021</u>
<i>*Amounts may not add due to rounding.</i>		

Learning Objective 11-4

11-4 Discuss and report dividends.

Dividends on Common Stock

- The return from investing in a company's common stock can come from two sources: stock price appreciation and dividends.
- Some investors prefer to buy stocks that pay little or no dividends.
 - Companies that reinvest the majority of their earnings back into their operations tend to increase their future earnings potential and their stock price.
 - Wealthy investors in high tax brackets prefer to receive their return in the form of higher stock prices because capital gains may be taxed at a lower rate than dividend income.
- Other investors, such as those who are retired and need a steady income, prefer to receive their return in the form of dividends.
 - Retirees seek stocks that will pay relatively high dividends, such as utility stocks.
- Analysts compute the dividend yield ratio to evaluate a company's dividend policy.

Key Dividend Dates (1 of 2)

The declaration and payment of a dividend involve several key dates.

1. **Declaration date.** The date on which the board of directors officially approves the dividend. As soon as the board declares a dividend, a liability is created and must be recorded.
2. **Date of record.** The date on which the corporation prepares the list of current stockholders who will receive the dividend payment. The dividend is payable only to those names listed on the record date. No journal entry is made on this date.
3. **Date of payment.** The date on which cash is disbursed to pay the dividend liability.



Tip A company records a journal entry on the declaration date and the date of payment. No journal entry is recorded on the date of record.

Key Dividend Dates (2 of 2)

Date of Declaration: Assume Microsoft declared a \$5,066 million dividend on September 20, 2022:

September 20, 2022	Debit	Credit
Retained earnings (–SE)	5,066,000,000	
Dividends payable (+L)		5,066,000,000

Assets	=	Liabilities	+	Stockholders' Equity
		Dividends payable +\$5,066,000,000		Retained earnings –\$5,066,000,000

Date of Payment: On December 8, 2022, the liability is paid.

December 8, 2022	Debit	Credit
Dividends payable (–L)	5,066,000,000	
Cash (–A)		5,066,000,000

Assets	=	Liabilities	+	Stockholders' Equity
Cash –\$5,066,000,000		Dividends payable –\$5,066,000,000		

Note: The corporation must have sufficient retained earnings (or current period net income) and enough cash to cover the amount of the dividend.

Impact of Dividends on Stock Price

FINANCIAL ANALYSIS



- The **ex-dividend date** is the date two days before the date of record. This date is established by the stock exchanges to account for the fact that it takes time (typically three days) to officially transfer stock from a seller to a buyer.
- If someone buys stock before the ex-dividend date, they will be listed as the owner and receive the dividend. If someone buys stock on or after the ex-dividend date, the previous owner will be listed as the owner of the dividend.
- Stock prices often fall on the ex-dividend date since the stock no longer includes the right to receive the next dividend.

Learning Objective 11-5

11-5 Compute and analyze the dividend yield ratio.

Dividend Yield



KEY RATIO ANALYSIS

How much does a company pay out in dividends each year relative to its share price?

The dividend yield ratio is computed as follows:

$$\text{Dividend Yield} = \text{Dividends per Share} \div \text{Market Price per Share}$$

The 2023 ratio for **Microsoft**: $\$2.72 \div \$340.54 = 0.80\%$

COMPARISONS OVER TIME		
Microsoft		
2021	2022	2023
0.83%	0.97%	0.80%

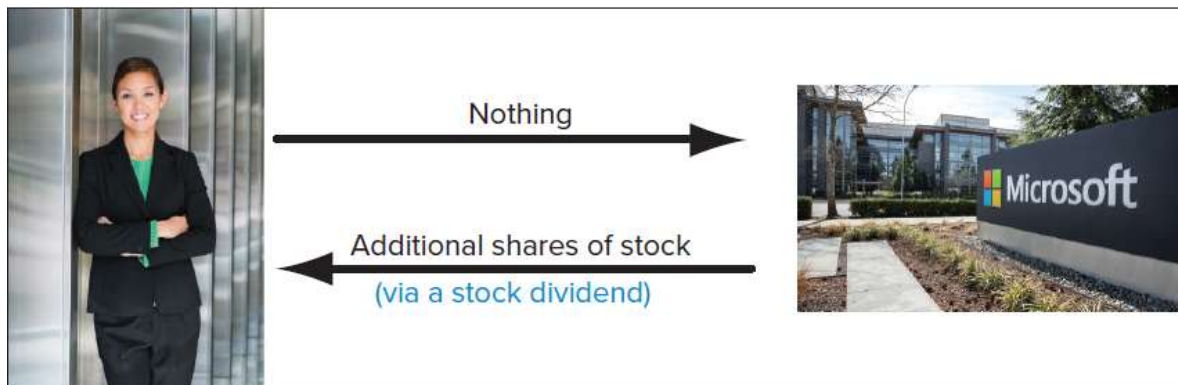
COMPARISONS WITH COMPETITORS	
IBM	Intel
2023	2023
4.05%	1.48%

Learning Objective 11-6

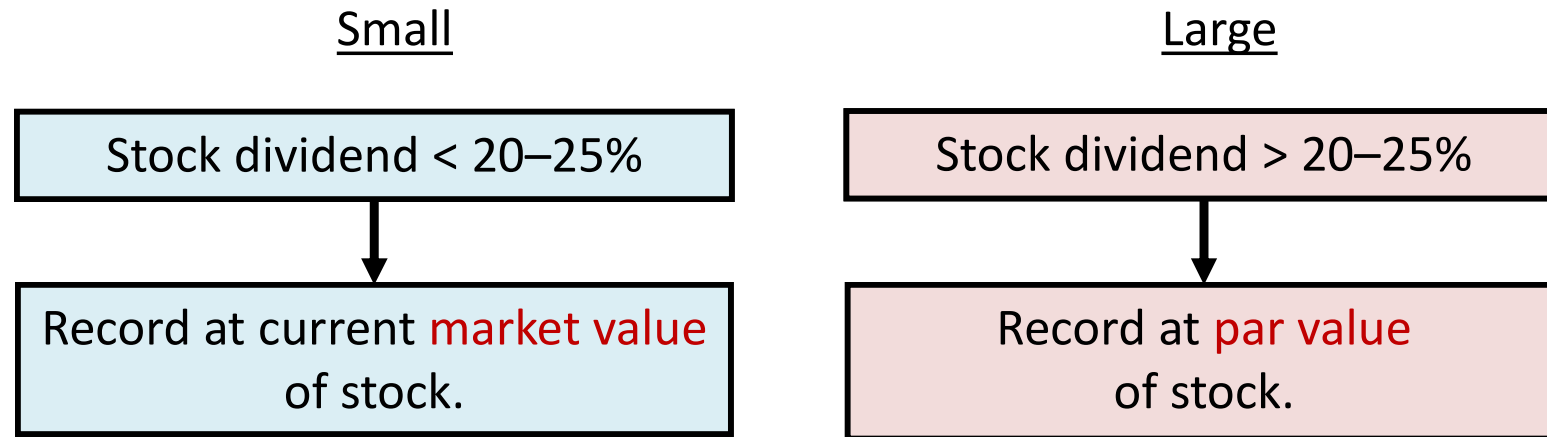
11-6 Discuss and report stock dividends and stock splits.

Nature of Stock Dividends (1 of 2)

- **Stock dividends** represent a distribution of additional shares of stock to stockholder on a pro rata basis at no cost to the stockholder.
 - Stockholders retain the same percentage ownership after stock dividends are distributed.
 - *Therefore, a stock dividend by itself has no economic value!*
- Stock dividends do not change the stock's par value or total stockholders' equity.
- The stock market reacts immediately when a stock dividend is issued.
 - The stock price falls.
 - The lower market price may make the stock more attractive to new investors.



Nature of Stock Dividends (2 of 2)



The entry for a stock dividend is a transfer from the Retained Earnings account to the Common Stock account (and Additional Paid-in Capital account for small stock dividends).

Stock Dividends

Large Stock Dividend: Assume Microsoft issued 40 million shares of its \$0.00000625 par value stock. On the date of declaration:

	Debit	Credit
Retained earnings (–SE) ($\$0.00000625 \times 40,000,000$)	250	
Common stock (+SE) ($\$0.00000625 \times 40,000,000$)		250

Assets	=	Liabilities	+	Stockholders' Equity
				Retained earnings –\$250
				Common stock +\$250

Small Stock Dividend: Assume Microsoft issued 4 million shares of its \$0.00000625 par value stock when it was trading at \$375 per share. On the date of declaration:

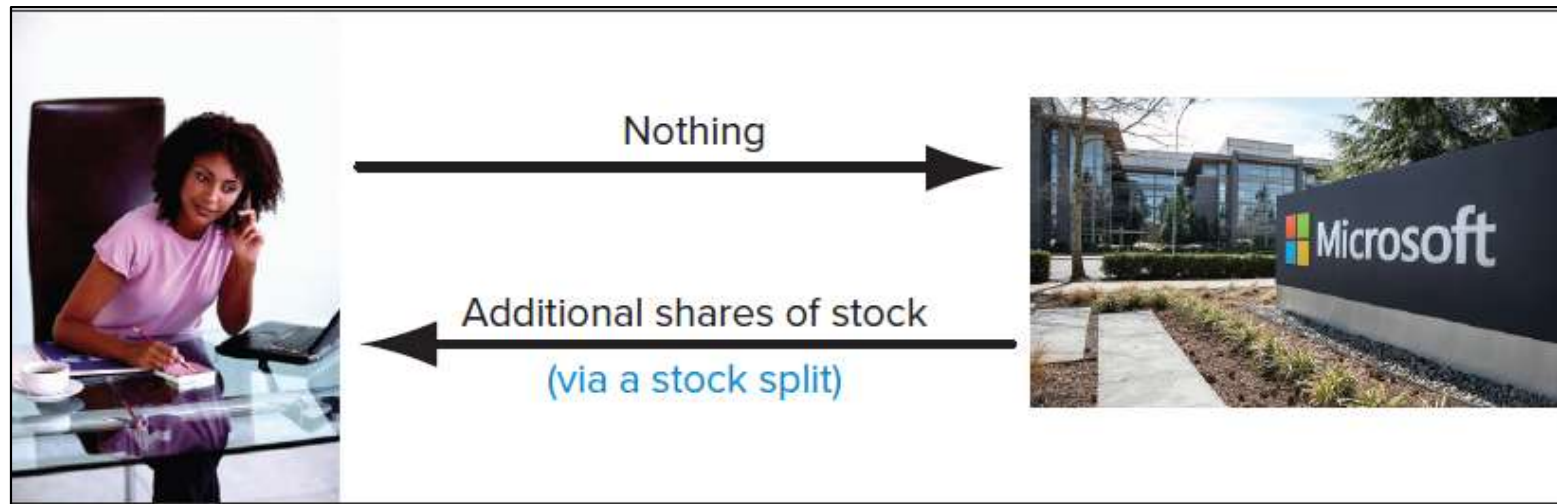
	Debit	Credit
Retained earnings (–SE) ($\$375 \text{ market price} \times 1,000,000$)	375,000,000	
Common stock (+SE) ($\$0.00000625 \text{ par value} \times 1,000,000$)		6
Additional paid-in capital (+SE) (remainder)		374,999,994

Assets	=	Liabilities	+	Stockholders' Equity
				Retained earnings –375,000,000
				Common stock +6
				Additional paid-in capital +374,999,994

NOTE: Regardless of whether a stock dividend is classified as large or small, there is **no change in the total amount of stockholders' equity!**

Stock Splits

- Stock splits are not dividends. In a stock split, a company gives stockholders a specified number of additional shares for each share that they currently hold.
- Companies do not make journal entries to record stock splits.
- The company reduces the par value of its stock so that the total dollar amount in the Common Stock account remains unchanged.
- In both a stock dividend and a stock split, the stockholder receives more shares of stock without having to invest additional resources to acquire the shares.
- A stock dividend requires a journal entry; a stock split does not but is disclosed in the notes to the financial statements.



Stock Dividend versus Stock Split

Assume that a corporation had 300,000 shares of \$1 par value common stock outstanding before a **100% stock dividend** versus a **two-for-one** stock split. This chart shows the comparative effects of a large stock dividend versus a stock split.

STOCKHOLDERS' EQUITY			
	Before	After a 100% Stock Dividend	After a 2-for-1 Stock Split
Number of shares outstanding	300,000	600,000	600,000
Par value per share	\$ 1.00	\$ 1.00	\$ 0.50
Common stock	\$300,000	\$600,000	\$300,000
Retained earnings	650,000	350,000	650,000
Total stockholders' equity	<u>\$950,000</u>	<u>\$950,000</u>	<u>\$950,000</u>

In both a stock dividend and a stock split, the stockholder receives more shares of stock.

Learning Objective 11-7

11-7 Describe the information reported on the statement of stockholders' equity.

Exhibit 11.3 Statement of Stockholders' Equity for Microsoft

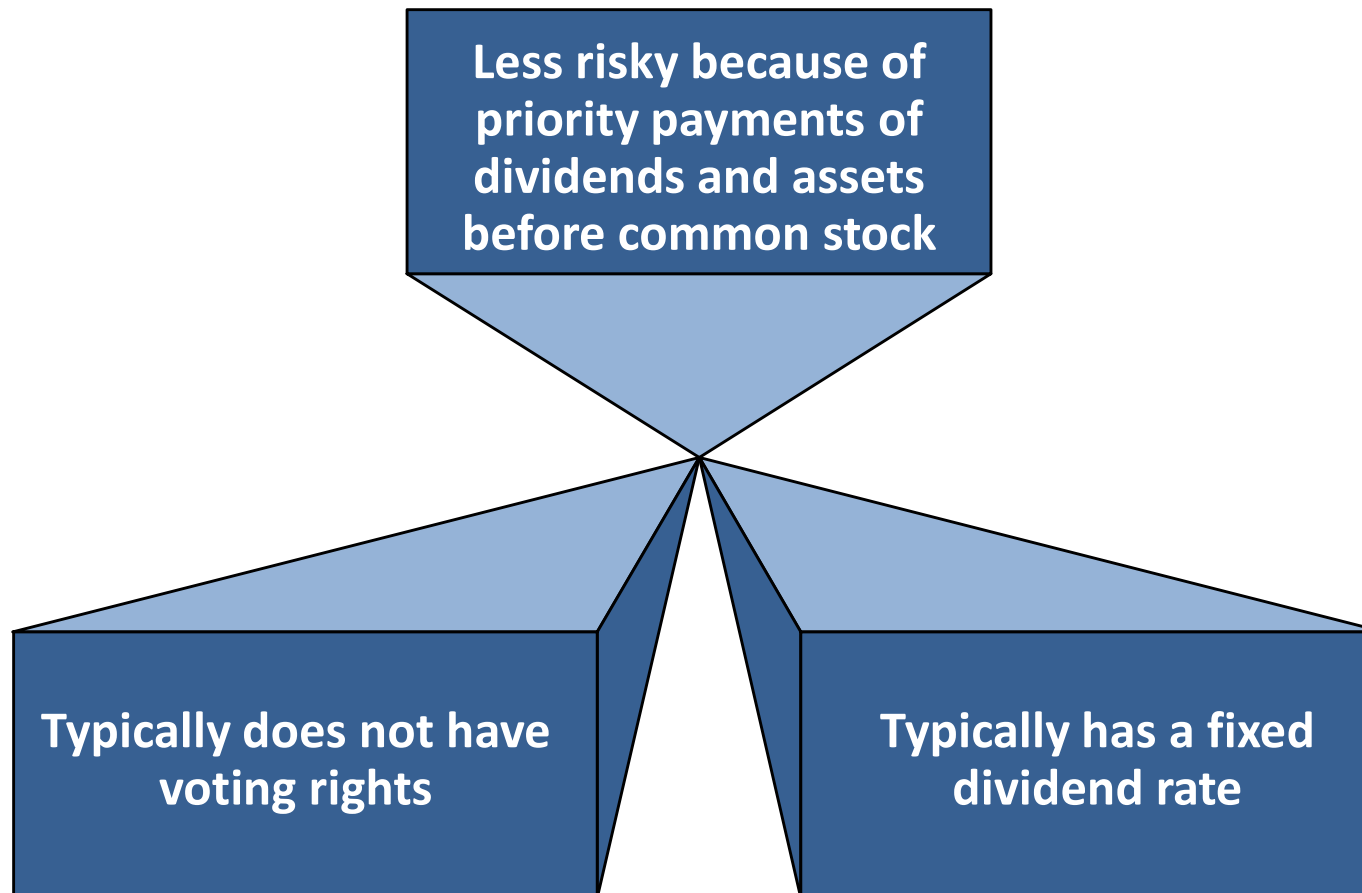
MICROSOFT CORPORATION Stockholders' Equity Statements (In millions, except per share amounts)*			
Year Ended June 30,	2023	2022	2021
Common stock and paid-in capital			
Balance, beginning of period	\$ 86,939	\$ 83,111	\$ 80,552
Common stock issued	1,866	1,841	1,963
Common stock repurchased	(4,696)	(5,688)	(5,539)
Stock-based compensation expense	9,611	7,502	6,118
Other, net	(2)	173	17
Balance, end of period	<u>93,718</u>	<u>86,939</u>	<u>83,111</u>
Retained earnings			
Balance, beginning of period	84,281	57,055	34,566
Net income	72,361	72,738	61,271
Common stock cash dividends	(20,226)	(18,552)	(16,871)
Common stock repurchased	(17,568)	(26,960)	(21,879)
Cumulative effect of accounting changes	0	0	(32)
Balance, end of period	<u>118,848</u>	<u>84,281</u>	<u>57,055</u>
Accumulated other comprehensive income (loss)			
Balance, beginning of period	(4,678)	1,822	3,186
Other comprehensive loss	1,665	(6,500)	(1,374)
Cumulative effect of accounting changes	0	0	10
Balance, end of period	<u>(6,343)</u>	<u>(4,678)</u>	<u>1,822</u>
Total stockholders' equity	<u>\$206,223</u>	<u>\$166,542</u>	<u>\$141,988</u>
Cash dividends declared per common share	\$ 2.72	\$ 2.48	\$ 2.24

*Amounts may not add due to rounding.

Learning Objective 11-8

11-8 Describe the characteristics of preferred stock and report preferred stock transactions.

Preferred Stock Transactions



Dividends on Preferred Stock (1 of 2)

Preferred stock offers a dividend preference over common stock.

Current dividend preference: Requires a company to pay current dividends to preferred stockholders before paying dividends to common stockholders. *After this is met then dividends can be paid to common stockholders.*

Cumulative dividend preference: Requires any unpaid dividends on preferred stock to accumulate. This amount, called **dividends in arrears**, must be paid before common dividends are paid.

*If preferred stock is **noncumulative**, any dividends not declared in previous years are permanently lost and will never be paid.*

Note: Dividends in arrears are disclosed in the notes to the financial statements. They are not a liability until the board of directors declares them.

Dividends on Preferred Stock (2 of 2)

Wally Company has the following stock outstanding:

WALLY COMPANY	
Preferred stock: 6%, \$20 par value, 2,000 shares outstanding = \$40,000	
Common stock: \$10 par value, 5,000 shares outstanding = \$50,000	

Assume a current dividend preference only:

Example	Total Dividends	6% Preferred Stock*	Common Stock
No. 1	\$ 3,000	\$2,400	\$ 600
No. 2	18,000	2,400	15,600
*Preferred dividend calculation: $\$20 \text{ par value} \times 0.06 \times 2,000 \text{ shares} = \$2,400$.			

Assume the preferred stock is cumulative and that dividends have been in arrears for two years:

Example	Total Dividends	6% Preferred Stock*	Common Stock
No. 1	\$ 8,000	\$7,200	\$ 800
No. 2	30,000	7,200	22,800
*Preferred dividend calculation: –Current dividend preference: $\$20 \text{ par value} \times 0.06 \times 2,000 \text{ shares} = \$2,400$ –Dividends in arrears: $\$2,400 \times 2 \text{ years} = \$4,800$ –Total preferred dividend: $\$2,400 + \$4,800 = \$7,200$			

Preferred Stock and Limited Voting Rights



FINANCIAL ANALYSIS

Although not typical, some preferred stock has special voting rights. For example, the excerpt below is from Public Storage's 2023 Annual Report:

Item 1A. Risk Factors

Risks Related to our Ownership, Organization and Structure

...

Holders of our preferred shares are entitled to cumulative dividends before any dividends may be declared or set aside on our common shares. Upon liquidation, holders of our preferred shares will receive a liquidation preference of \$25,000 per share (or \$25.00 per depositary share) plus any accrued and unpaid distributions before any payment is made to the common shareholders. These preferences may limit the amount received by our common shareholders either from ongoing distributions or upon liquidation. In addition, our preferred shareholders have the right to elect two additional directors to our Board whenever dividends are in arrears in an aggregate amount equivalent to six or more quarterly dividends, whether or not consecutive.

Learning Objective 11-9

11-9 Discuss the impact of stock transactions on cash flows.

Financing Activities



FOCUS ON CASH FLOWS

Transactions involving stock have a direct impact on the capital structure of a business. The cash inflows and outflows associated with these transactions are reported in the **Financing Activities** section of the statement of cash flows.

Effect on Cash Flows	
Financing activities	
Issuance of common or preferred stock	+
Common stock repurchased (treasury stock)	—
Sale of treasury stock	+
Payment of cash dividends	—

Exhibit 11.4

Excerpt from Statement of Cash Flows for Microsoft

MICROSOFT CORPORATION			
Cash Flows Statements (Partial)			
(In millions)			
Year Ended June 30	2023	2022	2021
...			
Financing			
Cash premium on debt exchange	\$ 0	\$ 0	\$ (1,754)
Repayments of debt	(2,750)	(9,020)	(3,750)
Common stock issued	1,866	1,841	1,693
Common stock repurchased	(22,245)	(32,696)	(27,385)
Common stock cash dividends paid	(19,800)	(18,135)	(16,521)
Other, net	(1,006)	(863)	(769)
Net cash used in financing	<u>\$(43,935)</u>	<u>\$(58,876)</u>	<u>\$(48,486)</u>

Chapter Supplement: Accounting for the Equity of Sole Proprietorships

Owners' Equity for a Sole Proprietorship

A sole proprietorship is an unincorporated business owned by one person.

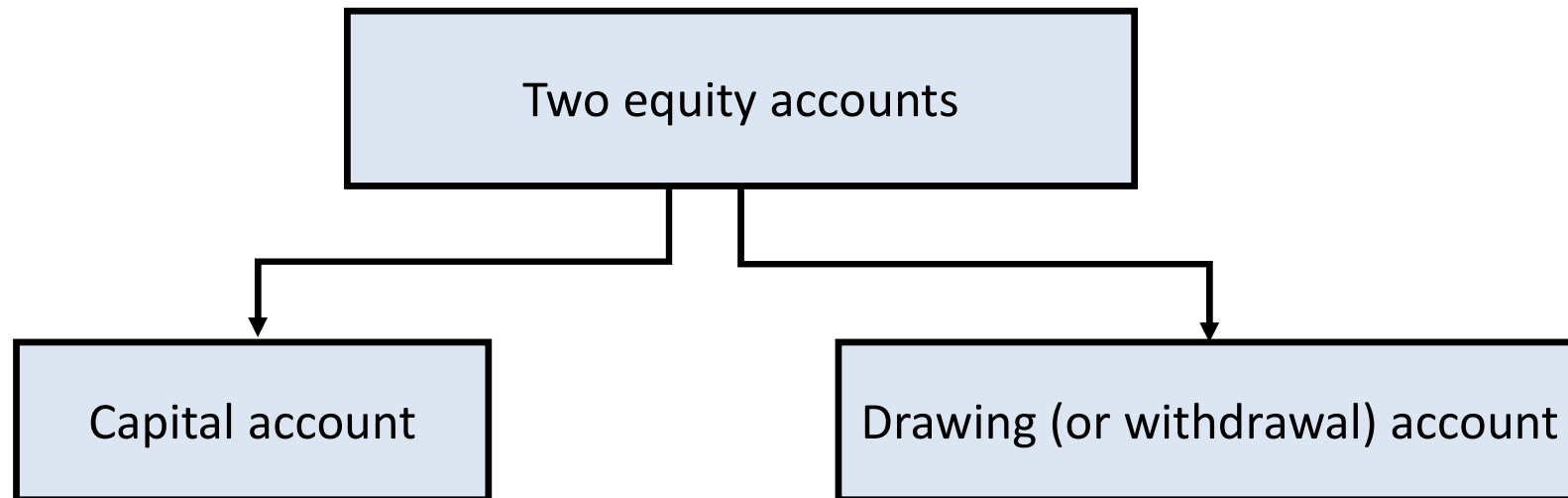


Exhibit 11.5: Accounting for Owner's Equity for a Sole Proprietorship (1 of 2)

Hans Solo started an aviation business by investing \$150,000 of personal savings. The journal entry to record this business formation is:

	Debit	Credit
Cash (+A)	150,000	
Hans Solo, capital (+OE)		150,000

Assets		=	Liabilities	+	Owner's Equity	
Cash	+150,000				Hans Solo, capital	+150,000

Each month during the year (so 12 times total) Hans withdrew \$1,000 cash from the business for personal living expenses.

<i>Each Month</i>	Debit	Credit
Hans Solo, drawing (−OE)	1,000	
Cash (−A)		1,000

Assets		=	Liabilities	+	Owner's Equity	
Cash	−1,000				Hans Solo, drawing	−1,000

Exhibit 11.5: Accounting for Owner's Equity for a Sole Proprietorship (2 of 2)

At the end of Year 1, \$418,000 of revenues and \$400,000 of expenses were closed to the owner's capital account as follows:

	Debit	Credit
Revenue accounts (–R, closing entry)	418,000	
Expense accounts (–E, closing entry)		400,000
Hans Solo, capital (+OE)		18,000

Assets	=	Liabilities	+	Owner's Equity
				Close revenue accounts
				–418,000
				Close expense accounts
				+400,000
				Hans Solo, capital
				+18,000

The drawing account was closed as follows:

	Debit	Credit
Hans Solo, capital (–OE)	12,000	
Hans Solo, drawing (+OE, closing entry)		12,000

Assets	=	Liabilities	+	Owner's Equity
				Hans Solo, drawing
				+12,000
				Hans Solo, capital
				–12,000

Exhibit 11.5

Accounting for Owner's Equity for a Sole Proprietorship

HANS SOLO AVIATION	
Statement of Owner's Equity	
For the Year Ended December 31, Year 1	
Owner's Equity	
Hans Solo, capital, January 1, Year 1	\$ 0
Add: Investments during Year 1	150,000
Add: Net income for Year 1	<u>18,000</u>
Total	168,000
Less: Drawings for Year 1	<u>(12,000)</u>
Hans Solo, capital, December 31, Year 1	<u><u>\$156,000</u></u>

Owners' Equity for a Partnership

- A partnership is owned by two or more individuals. The partnership agreement specifies the division of income, management responsibilities, transfer or sale of partnership interests, disposition of assets upon liquidation, and procedures to be followed in case of the death of a partner.
- Separate capital and drawing accounts are maintained for each partner.
- Partnership income is divided among the partners according to the partnership agreement.
- Advantages of a partnership include:
 - Ease of formation
 - Complete control by partners
 - Lack of income taxes on business itself
- The primary disadvantage of a partnership is unlimited liability of each partner for the partnership's debts.
- Partners must report their share of the partnership profits on their individual tax returns.
- Withdrawals by the partners are not recorded as expenses but rather are treated as distributions of capital.

Exhibit 11.6: Accounting for Owner's Equity for a Partnership (1 of 4)

Serena and Venus organized Mirror Image Partners on January 1. Serena and Venus contributed cash to the partnership in the amount of \$60,000 and \$40,000, respectively.

	Debit	Credit
Cash (+A)	100,000	
Serena, capital (+OE)		60,000
Venus, capital (+OE)		40,000

Assets		=	Liabilities	+	Owners' Equity	
Cash	+100,000				Serena, capital	+60,000
					Venus, capital	+40,000

Exhibit 11.6: Accounting for Owner's Equity for a Partnership (2 of 4)

Each month during the year (so 12 times total), Serena withdrew \$1,000 cash and Venus withdrew \$650 cash for personal use.

<i>Each Month</i>	Debit	Credit
Serena, drawing (–OE)	1,000	
Venus, drawing (–OE)	650	
Cash (–A)		1,650

<u>Assets</u>		=	<u>Liabilities</u>	+	<u>Owners' Equity</u>
Cash	–1,650				Serena, drawing –1,000
					Venus, drawing –650

Note: At the end of Year 1, after the last withdrawal, the drawing accounts for Serena and Venus reflected debit balances of \$12,000 and \$7,800, respectively.

Exhibit 11.6: Accounting for Owner's Equity for a Partnership (3 of 4)

At the end of Year 1, \$630,000 of revenues and \$600,000 of expenses were closed to the owners' capital accounts. The partnership agreement specified Serena would receive 60 percent of earnings and Venus would receive 40 percent.

	Debit	Credit
Revenue accounts (–R, closing entry)	630,000	
Expense accounts (–E, closing entry)		600,000
Serena, capital (+OE) ($\$30,000 \times 0.60$)		18,000
Venus, capital (+OE) ($\$30,000 \times 0.40$)		12,000

<u>Assets</u>	=	<u>Liabilities</u>	+	<u>Owners' Equity</u>
				Close revenue accounts –630,000
				Close expense accounts +600,000
				Serena, capital +18,000
				Venus, capital +12,000

Exhibit 11.6: Accounting for Owner's Equity for a Partnership (4 of 4)

At the end of Year 1, the drawing accounts were closed.

	Debit	Credit
Serena, capital (−OE)	12,000	
Venus, capital (−OE)	7,800	
Serena, drawing (+OE, closing entry)		12,000
Venus, drawing (+OE, closing entry)		7,800

<u>Assets</u>	=	<u>Liabilities</u>	+	<u>Owners' Equity</u>
				Serena, drawing +12,000
				Venus, drawing +7,800
				Serena, capital −12,000
				Venus, capital −7,800

Exhibit 11.6

Accounting for Owners' Equity for a Partnership

Like a sole proprietorship, a partnership does not report income tax expense on its income statement. Partners must report their share of the partnership profits on their individual tax returns. Also, like sole proprietorships, withdrawals by the partners are not recorded as expenses but rather are treated as distributions of capital.

MIRROR IMAGE PARTNERS

Statement of Owners' Equity For the Year Ended December 31, Year 1

	Serena	Venus	Total
Investment, January 1, Year 1	\$ 0	\$ 0	\$ 0
Add: Investments during Year 1	60,000	40,000	100,000
Add: Net income for Year 1	18,000	12,000	30,000
Totals	78,000	52,000	130,000
Less: Drawings during Year 1	(12,000)	(7,800)	(19,800)
Owner's equity, December 31, Year 1	<u>\$66,000</u>	<u>\$44,200</u>	<u>\$110,200</u>